

Brief 1 — David Reid Meeting Minutes

TSC Construction + QS Tools Discussion

Meeting Purpose

The meeting with David Reid was used to discuss two connected areas:

1. **TSC Construction** — current business position, market pressure, cashflow, options, and future direction.
2. **QS Tools** — product validation, business recovery logic, Xero integration, target user, AI risk, and simplification.

David brought experience in operations, Lean/productivity, consulting, business improvement, and distressed business recovery.

Section 1 — TSC Construction

1. Business assessment approach

David's first instinct when assessing a business is to look at the **P&L**, not the balance sheet.

He focused on:

- sales
- material cost
- labour cost
- fixed cost structure
- scalability
- productivity
- whether the business has a clear mechanism to improve

This confirmed that the P&L is the most important starting point for business diagnosis.

2. TSC current position

The discussion identified that TSC is dealing with several overlapping pressures:

- a major failed/problem job has damaged cashflow
- forward workload is currently thin
- the construction market has softened
- competitors are pricing aggressively
- TSC has reduced staff and overhead
- Paul has not been paying himself recently
- the business is being forced into defensive decisions

David cautioned that Paul may be making structural business decisions based on a short-term cashflow shock.

3. Business value and saleability

Paul explained that the long-term goal is to build something saleable.

David's view was that a business like TSC has limited sale value unless it has a clear point of difference or repeatable model.

A business becomes more valuable when it has:

- market share
 - contracts or preferred relationships
 - recurring/reliable work
 - less dependence on the owner
 - clear margin structure
 - a defensible niche
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4. Main business driver

A key insight was that TSC's real macro driver may be:

cubic metres of concrete installed/sold

Customers may think in square metres or completed jobs, but internally the business may be driven by concrete volume.

Concrete volume affects:

- revenue
 - supplier buying power
 - labour utilisation
 - material margin
 - job planning
 - business scale
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5. Labour, material, and job mix

The discussion separated different types of work:

- block foundations: generally stronger material margin and lower labour share
- raft slabs: more labour-heavy
- complex work: more defensible and less crowded
- simple high-volume work: more exposed to large competitors

Paul explained that TSC often makes money from:

- concrete margin
- material margin
- digger work
- efficient installation
- larger / more complex jobs

Labour was identified as difficult to measure and easy to lose margin on if jobs overrun.

6. Market and competition

David identified that large competitors may be able to price aggressively because of scale, buying power, and existing overhead recovery.

TSC may struggle when competing directly on simple commodity slab work.

The stronger position may be:

specialist, complex, technically reliable concrete/foundation work

7. Sales and pipeline

The discussion covered the weakness in the current sales funnel.

Issues identified:

- enquiry volume is down
 - conversion is harder
 - cold calling is difficult in a weak market
 - sales effort can start to look desperate
 - digital marketing needs to be targeted
 - warm leads and existing relationships are likely more valuable than pure cold outreach
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8. Strategic options for TSC

David framed the decision as a set of options:

1. **Push through**
2. preserve capability
3. wait for market recovery
4. risk ongoing cash pressure

5. **Shrink to a low-overhead model**

- 6. reduce burn
- 7. keep the business alive
- 8. only take worthwhile work

9. **Hybrid model**

- 10. keep TSC alive while creating income elsewhere
- 11. reduce reliance on inconsistent construction workflow

12. **Differentiate**

- 13. focus on specialist work
- 14. avoid commodity pricing

15. **Park or exit**

- 16. avoid burning cash if profitable work cannot be found
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9. TSC key takeaways

- TSC's problem is not one single issue.
 - The current position is a mix of market pressure, cashflow shock, pricing pressure, and workload shortage.
 - TSC should not make long-term decisions from short-term cashflow pain alone.
 - Concrete volume may be the key macro driver.
 - Complex/specialist work may be the strongest strategic position.
 - TSC needs a deliberate 12-month survival and recovery plan.
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Section 2 — QS Tools

1. Core problem

Paul explained that QS Tools is intended to help small trade/construction businesses understand:

- true labour cost
- minimum recoverable rate
- whether jobs support the whole business
- whether price and cost are being confused
- whether labour, materials, assets, or overheads are leaking
- whether the business model actually works

David recognised that many businesses do not understand these things properly.

2. P&L anchor

A major theme was that QS Tools must stay anchored to the P&L.

The tool should not invent numbers or allow unsupported assumptions to distort the result.

Trust principle:

Every major number must trace back to the P&L or be clearly shown as a user assumption.

3. Labour recovery

Paul demonstrated the labour cost build-up and minimum recoverable rate logic.

David recognised that many small businesses do not know what labour really costs them.

This confirmed labour recovery as one of the strongest simple entry points for QS Tools.

4. Existing tools and market gap

David challenged whether existing job management tools already solve this.

The distinction became clear:

- job tools manage the work
- Xero records accounting data
- QS Tools checks whether the business model works

Positioning:

Job tools tell you what happened.
QS Tools tells you whether what happened actually works.

5. Xero integration

David saw Xero as the trusted source of truth.

The first useful integration is:

Xero P&L → QS Tools

Paul also described the longer-term full loop:

quote → work orders → purchase orders → reconciliation → Xero

David understood the logic but warned that this becomes a bigger system.

6. AI challenge

David asked whether AI could replace the need for software.

Paul's answer was that AI can analyse data, but it needs clean structure and reliable inputs first.

QS Tools should be positioned as the structured engine that AI can later explain.

Positioning:

AI can explain the answer.
QS Tools creates the answer.

7. Complexity and usability

David's main concern was that the tool currently looks complex.

However, he engaged with the tool, clicked through Cost Summary and Business Summary, changed timeframes, and drilled into the data.

This showed that the depth has value, but the first impression needs to be much simpler.

8. QS Tools key takeaways

- The core problem is real.
 - Labour recovery is a strong starting point.
 - P&L reconciliation is essential for trust.
 - Existing job tools do not fully solve the macro business recovery problem.
 - Xero integration is central.
 - AI is a challenge but also an opportunity.
 - The product must become simpler on the surface.
 - The next step is an answer-first dashboard.
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Final Meeting Summary

The David Reid meeting validated the core logic behind QS Tools, but it also exposed the main risk.

The model is not the issue.

The complexity of the first user experience is the issue.

For TSC, the next step is a realistic 12-month survival and recovery plan.

For QS Tools, the next step is to turn the existing system into a simple dashboard that tells the user:

This is where your business should be.

This is where it actually is.

This is the gap.

This is what is causing it.

This is what to fix first.